Case No. 19-8005

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE SIXTH CIRCUIT

United States Bankruptcy Appellate Panel of the Sixth Circuit

Dinsmore & Shohl LLP
Bingham Greenebaum Doll LLP
Fox Rothschild LLP
and Phoenix Management Services, LLC

Appellants,

v.

United Cumberland Bank

Appellee.

In re:	BAP No. 19-8005
CHIEFTAIN STEEL, LLC, et al.	Appeal from U.S. Bankruptcy Court Western District of Kentucky-Bowling Green
Debtors.	
DINSMORE & SHOHL LLP, BINGHAM GREENBAUM DOLL LLP, FOX ROTHSCHILD LLP, and PHOENIX MANAGEMENT SERVICES, LLC	Originating Case Information Case No. 16-10407 Chapter 11 Hon. Joan A. Lloyd
Appellants,	
v.	
UNITED CUMBERLAND BANK	
Appellee.	

On Appeal from the United States Bankruptcy Court for the Western District of Kentucky, Originating Case No. 16-10407, Chapter 11, Hon. Joan A. Lloyd.

APPELLEES' BRIEF

ON APPEAL FROM THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF KENTUCKY

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August 30, 2019

Corporate Disclosure Statement

~~CORPORATE DISCLOSURE STATEMENTS~~

Pursuant to 6th Cir. R. 26.1, Appellee United Cumberland Bank makes the following disclosures:

Pursuant to 6th Cir. R. 26.1, Appellee United Cumberland Bank states that it is not a subsidiary or affiliate of a publicly owned corporation, and that no publicly owned corporation that is not a party to the appeal has a financial interest in the outcome.

1. Is said party of subsidiary or affiliate of a publicly owned corporation?

No.

2. Is there a publicly owned corporation, not a party to the appeal, that has a financial interest in the outcome?

No.

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Table of Contents

Table of Contents

Corporate Disclosure Statement i
Table of Authorities iii
Statement of the Issues 1
Statement of the Case 1
Standard of Review 4
Summary of Argument 4
Argument 5
The Cash Collateral Orders do not obligate UCB to pay the Professional fees. 5
The Plan of Confirmation does not require UCB to pay the Professional fees. 6
Conclusion 7

STATEMENT OF ISSUES 1
STATEMENT OF THE CASE 1
STANDARD OF REVIEW 4
SUMMARY OF ARGUMENT 4
ARGUMENT 5
The Cash Collateral Orders do not obligate UCB to pay the Professional fees. 5
The Plan of Confirmation does not require UCB to pay the Professional fees. 8
Cases cited by the Professionals do not support their position. 10
CONCLUSION 11

Table of Authorities

Cases

Harper v. The Overnight Comm. (In re Conoco, Inc.), 855 F.3d 703 (6th Cir. 2017). 4

In re Evanston Beauty Supply, Inc., 136 B.R. 171 (Bankr. N.D. Ill. 1992) 5

In re Licking River Mining, LLC, 911 F.3d 806 (6th Cir. 2018) 4

Statutes

11 U.S.C. § 1141(a) 6

11 U.S.C. § 1141(b) 6

Table of Authorities

Cases

Harper v. The Overnight Comm. (In re Conoco, Inc.) 5

In re Chattanooga Wholesale Antiques Inc., 930 F.2d 458 (6th Cir 1991) 8

In re Consolidated Industries Corp., 360 F.3d 317 (7th Cir. 2004) 5

In re Evanston Beauty Supply, Inc., *136 B.R. 171, 177 (Bankr. N.D. IL 1992)* 6

In re Licking River Mining, LLC, 911 F.3d 806 (6th Cir. 2018) 5, 10

In re Molycorp, Inc., 562 B.R. 67 (Bankr. D. DE 2017) 10

In re Robert L. Schmidt Company, 337 B.R. 595 (Bankr. W.D. Ky 2006). 8

In re Sanders Confectionery Products, Inc. v. Heller Financial, Inc., 973 F.2d 474 (6th Cir. 1992). 8

In re U.S. Flow Corp. 332 B.R.792 (Bankr. W.D. MI 2005) 11

Statutes

11 U.S.C. § 1141(a) 8

11 U.S.C. § 1141(b) 8

STATEMENT OF THE ISSUES

Statement of the Issues

Are the Appellants Dinsmore & Shohl, LLP; Bingham Greenebaum Doll, LLP; Fox Rothschild, LLP and Phoenix Management Services, LLC entitled post-confirmation to recover unpaid fees pursuant to a Carve-Out in the interim Cash Collateral Orders which were not specifically authorized or reserved in the Order of Confirmation or the Confirmed Plan of Reorganization.

STATEMENT OF THE CASE

Statement of the Case

The Appellants consist of counsel for the Debtor, Chieftain Steel, LLC, and the attorneys and financial advisors for the creditors committee (hereinafter collectively referred to as ("Professionals".) The Professionals are seeking to recover post-confirmation fees and expenses from the secured creditor although such recovery is not authorized under the Confirmed Plan of Reorganization or in the Order of Confirmation.

Chieftain Steel, LLC ("Chieftain") filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code on May 2, 2016. Subsequently, the Official Committee of Unsecured Creditors (the "Committee") was appointed by the office of the United States Trustee. Chieftain was initially represented by Constance Grayson, but was replaced by Dinsmore & Shohl, LLP, which was approved as counsel for Chieftain by Order dated August 22, 2016 (Doc #109).

On June 24, 2016, the Bankruptcy Court entered an Order Granting Application to Employ Michael G. Menkowitz, Fox Rothschild LLP as Counsel, Nunc Pro Tunc as of May 21, 2016 (Doc #83) and Order Granting Application to Employ James R. Irving, Bingham Greenebaum Doll LLP as Local Counsel, Nunc Pro Tunc as of May 21, 2016 (Doc #84). On July 20, 2016, the employment of Phoenix as the Committee's financial adviser was approved by the Bankruptcy Court (Doc #92).

On July 8, 2016, the parties entered into an *Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender pursuant to 11 U.S.C. §§ 105, 361 and 363; and (III) Providing Notice of Final Hearing* (Doc #91). This initial Cash Collateral Order did not provide an amount for a Carve-Out. *A Second Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; and (III) Providing Notice of Final Hearing* was entered on August 4, 2016 (Doc #101). This Order authorized the **Debtor** to pay Dinsmore & Shohl, LLP $20,000 per month for fees and pay $20,000 per month for the other Professionals. Its relevant part, the Second Cash Collateral Order provided:

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out. For purposes of this Agreed Order, the Carve-Out shall mean (i) any fees, costs, disbursements, charges and expenses (as allowed by the Bankruptcy Court) of attorneys, accountants and other professionals of (x) the Debtor retained in the Chapter 11 Case pursuant to Sections 327, 328, 330, 331 and 1103 of the Bankruptcy Code and (y) the Committee; provided, however, that the aggregate amount of the Debtor's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month and the Committee's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month. **The Debtor shall pay the Carve-Out as funds permit without causing an overdraft.** (Emphasis Added)

The Second Amended Cash Collateral Order covered a time period of July 3, 2016 through July 28, 2016. Subsequently, additional Cash Collateral Orders were entered in the Chieftain case on August 30, 2016, Third Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (III) Providing Notice of Final Hearings; and (IV) Remanding Hearing Set for August 30, 2016 (Doc #111); on September 1, 2016, Amended Third Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate

was filed by the requisite three creditors, including one of the Professionals, placing Pennyrile into a Chapter 7 Bankruptcy Case No. 18-10046.

After the filing of the Pennyrile's involuntary bankruptcy, the Professionals sent a letter on May 7, 2018 to counsel for United Cumberland Bank ("UCB") demanding payment of over $227,407.48 for professional fees. UCB denied that request. Subsequently on October 5, 2018, the professionals filed a Joint Motion of Dinsmore & Shohl LLP, Bingham Greenebaum Doll LLP, Fox Rothschild LLP, and Phoenix Management Services, LLC to Compel Turnover and Payment of Carve-Out Held by United Cumberland Bank (Doc #409). After briefing and a hearing, Judge Joan Lloyd denied the Professional's motion by Memorandum-Opinion dated March 13, 2019 (Doc #424). The Bankruptcy Court stated that it "sees nothing in the Second Amended Plan or the Carve-Out that requires payment of the Professionals' fees directly from UCB's collateral post-confirmation." Memorandum-Opinion, p. 12. The Bankruptcy Court also noted in a final footnote: "To the extent the Professionals claim UCB has collected monies from pre-confirmation assets as opposed to post-confirmation assets, and to the extent other secured creditors not subject to the Carve-Out and Cash Collateral Orders claim superior rights to the proceeds from liquidated equipment, an adversary proceeding is the appropriate method to resolve these claims."

This Appeal then followed.

STANDARD OF REVIEW

The review of the bankruptcy court Order interpreting is own Orders is for an abuse of desecration *In re Licking River Mining, LLC*, 911 F.3d 806 (6th Cir. 2018); I*n re Consolidated Industries Corp.*, 360 F.3d 317 (7th Cir. 2004). The bankruptcy court's interpreting of the Cash Collateral Order should be given deference. *In re Licking River Mining* on p. 810, relying upon *Harper v. The Overnight Comm. (In re Conoco, Inc.)*, 855 F.3d 703, 714 (6th Cir. 2017).

SUMMARY OF ARGUMENT

Bankruptcy Judge Joan Lloyd, interpreting her own Orders and confirmed Second Amended Plan of Reorganization, did not abuse her discretion in finding that neither the Second Amended Plan or the Carve-Out provisions in the Cash Collateral Orders required payment of the Professionals from UCB's collateral post-confirmation. Despite claims made by the Professionals, the Bankruptcy Court has not created havoc with the normal Chapter 11 fee arrangements or create a "dangerous precedent." The collection of fees from UCB pursuant to the Carve-Out is not the Professionals only opportunity to be paid. The Liquidating Trustee appointed in the Confirmed Plan should also have funds available to pay administrative expenses.

ARGUMENT

UCB recognizes that Carve-Outs are normal provisions in Cash Collateral Orders and are needed to "foster the reorganization process." *In re Evanston Beauty Supply, Inc.*, 136 B.R. 171, 177 (Bankr. N.D. IL 1992). Professionals merely seek to enforce rights which do not exist under the plain language of the Cash Collateral Orders or the confirmed Second Amended Plan. The Professionals want to argue that "nothing in the Carve-Outs, the Cash Collateral Orders, or the Confirmed Plan prevents the Carve-Out from being enforced Post-Confirmation or after the initiation of the Chapter 7 proceeding." ***Appellants Brief Page 11***.

However, unfortunately for the Professionals, the Carve-Out, the Cash Collateral Orders and the Confirmed Plan do not authorize the collection from UCB post-confirmation. The Carve-Out and Plan further do not authorize such action after the initiation of the new involuntary Chapter 7 action.

The Cash Collateral Orders do not obligate UCB to pay the Professional fees.

Each Cash Collateral Order was limited in scope. In Paragraph 3(a) of each Order, the use of Cash Collateral was limited to a specific budget. As an example, the *Second Amended Final*

SUMMARY OF ARGUMENT

Bankruptcy Judge Joan Lloyd, interpreting her own Orders and confirmed Second Amended Plan of Reorganization, did not abuse her discretion in finding that neither the Second Amended Plan or the Carve-Out provisions in the Cash Collateral Orders required payment of the Professionals from UCB's collateral post-confirmation. Despite claims made by the Professionals, the Bankruptcy Court has not created havoc with the normal Chapter 11 fee arrangements or create a "dangerous precedent." The collection of fees from UCB pursuant to the Carve-Out is not the Professionals only opportunity to be paid. The Liquidating Trustee appointed in the Confirmed Plan should also have funds available to pay administrative expenses.

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However, unfortunately for the Professionals, the Carve-Out, the Cash Collateral Orders and the Confirmed Plan do not authorize the collection from UCB post-confirmation. The Carve-Out and Plan further do not authorize such action after the initiation of the new involuntary Chapter 7 action.

Confirmed Plan prevents the Carve-Out from being enforced Post-Confirmation or after the initiation of the Chapter 7 proceeding. ***Appellants Brief Page 11.***

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The Cash Collateral Orders do not obligate UCB to pay the Professional fees.

Each Cash Collateral Order was limited in scope. In Paragraph 3(a) of each Order, the use of Cash Collateral was limited to a specific budget. As an example, the *Second Amended Final* Order provided that the Carve-Out would not exceed $20,000 per month for Debtors counsel and $20,000 per month for the Committee, It further provided "the Debtor shall pay the Carve-Out as funds permit without causing an overdraft."

Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Pre-Petition Lender, and (II) Granting Adequate Protection to Pre-Petition Lender Pursuant to U.S.C. § 105, 361 and 363; and (III) Providing Notice of Final Hearing dated March 31, 2017 (Doc #191) was limited to the period of December 31, 2016 through March 1, 2017 (the "Budget".) Each Cash Collateral Order provided that the Carve-Out would not exceed $20,000 per month for Debtor's counsel and $20,000 per month for the Committee. It further provided "the Debtor shall pay the Carve-Out as funds permit without causing an overdraft."

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out. For purposes of this Agreed Order, the Carve-Out shall mean (i) any, fees, cost, disbursements, charges and expenses (as allowed by the Bankruptcy Court) of attorneys, accountants and other professionals of (x) the Debtor retained in the Chapter 11 Case pursuant to Sections 327, 328, 330, 331 and 1103 of the Bankruptcy Code and (y) the Committee, provided, however, that the aggregate amount of the Debtor's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month and the Committee's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month. **The Debtor shall pay the Carve-Out as funds permit without causing an overdraft.** (Emphasis Added)

The Professionals' interpretation of the Carve-Out negates the various of the provision that the "Debtor shall pay this Carve-Out as find permit." Clearly only the Debtor was obligated to pay the Carve-Out, and only as cash was available. The parties did not want the Professional fees to drive the Debtor into deficit cash position.

Subsequent Cash Collateral Orders did not address or permit the carry forward of any arrears in the payments from the prior budget. Each Cash Collateral Order is silent as to what would occur should the Debtor fail to pay the $20,000 per month agreed to as to the Carve-out. Clearly there is no specific language requiring UCB to make up any such shortfall.

The Plan of Confirmation does not require UCB to pay the Professional fees.

A confirmed plan is legally binding on all parties. 11 U.S.C. § 1141(a). Post-Confirmation, parties are precluded from raising issues they could have raised pre-confirmation. 11 U.S.C. § 1141(b).

As Judge Lloyd properly ruled, nothing in the Confirmed Second Amended Joint Plan of Reorganization "shifted the responsibility for payment of the Carve-Out from the Debtors to UCB." The failure of the Plan to more specifically address payment of the Professionals fee is made problematic by the fact that the Second

Amended Plan provided that Chieftain would merge post-confirmation with Floyd

The case of *In re U.S. Flow Corp.* 332 B.R.792 (Bankr. W.D. MI 2005) also is not supportive of the Professional's position. *In re U.S. Flow*, the U.S. Trustee sought a disgorgement

Industries. The Professionals' Carve-Outs were only entered in the Chieftain case.

of fees paid to the Professionals pursuant to a Carve-Out after a short-lived Chapter 11 case was converted to Chapter 7. In the present case, no one is seeking a disgorgement and a plan of reorganization was confirmed.

They had no entitlement to a carve-out for fees in the Floyd Industries case.

Conclusion

CONCLUSION

The Bankruptcy Courts Opinion in Order should be affirmed.

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Respectfully submitted,

Respectfully submitted:

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August 30, 2019

CERTIFICATE OF SERVICE

The undersigned hereby certifies that a true and accurate copy of the foregoing was served upon all parties registered to receive electronic notice, via notice by the Court's CM/ECF service on August 30, 2019.

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COUNSEL FOR APPELLEES

The case of *In re U.S. Flow Corp.*, 332 B.R. 792 (Bankr. W.D. MI 2005) also is not supportive of the Professional's position. *In re U.S. Flow*, the U.S. Trustee sought a disgorgement of fees paid to the Professionals pursuant to a Carve-Out after a short-lived Chapter 11 case was converted to Chapter 7. In the present case, no one is seeking a disgorgement and a plan of reorganization was confirmed.

CONCLUSION

The Bankruptcy Courts Opinion in Order should be affirmed.

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Certificate of Compliance

This brief of appellee complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 1,185 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g). It complies with the typeface requirement of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirement of Fed. R. Bankr. P. 8015(a)(6) because it was prepared in a proportionally spaced typeface, Liberation Serif at 14-point, with case names in italics.

Respectfully submitted,

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August 30, 2019

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FOR THE SIXTH CIRCUIT

In re:	)	BAP No. 19-8005
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Certificate of Service

I certify that on August 30, 2019 I filed this brief of appellee with the Clerk of the Bankruptcy Appellate Panel of the Sixth Circuit through the court's electronic filing system, which will send notice of the filing to all counsel of record.

Respectfully submitted,

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